

Alphabet Inc.
 GOOGL NASDAQ

Buy **\$357.37** ▲ 3.06%
 12M Price Target **\$400.00**
52-Week Range \$186.15 – \$408.61

Market Cap
 \$4.36T

GOOGL: Custom AI Chip Buzz Reignites Rally Ahead of Earnings

WHAT HAPPENED

- Stock popped 3% on a Reuters/MT Newswires report that Google is developing a next-gen custom server chip — this matters because it signals Alphabet is doubling down on reducing its dependence on Nvidia, which means fatter margins on AI workloads over time and a real competitive moat in cloud.
- Options desks lit up with unusual call buying at \$355/\$357.50/\$360 strikes for July expiry — that's traders betting the stock keeps grinding higher into earnings (which drop this week), not just a one-day pop.

WHY IT MATTERS

The chip news is a bigger deal than it looks. Every dollar Alphabet spends on its own TPU (their custom AI chip) is a dollar it doesn't hand to Nvidia — and with AI capex running \$70B+ annually across hyperscalers, even a small efficiency gain compounds massively into 2027. The market is starting to price GOOGL as a legit AI infrastructure play, not just "the search company that got lucky with Gemini." Watch this week's earnings closely: if Cloud revenue grows 30%+ and management guides capex higher (yes, higher spending is bullish here — it means demand is outrunning supply), you'll see this stock retest \$370+ fast. The insider selling from GV (Google Ventures) is noise — that's a venture arm distributing a portfolio company's shares, not executives dumping stock.

POLICY & POLITICAL WATCH

The big overhang is the DOJ antitrust remedy phase — the search monopoly ruling is still working through appeals, and there's ongoing debate about whether Google gets forced to divest Chrome or share search data with rivals. The Trump administration's DOJ has signaled a lighter touch than Biden's on Big Tech breakups (they're more focused on content moderation fights), which is quietly bullish for the stock. Also watch the CHIPS Act 2.0 discussions in Congress — expanded semiconductor incentives could subsidize domestic chip fabrication, which directly helps Alphabet's custom silicon ambitions if they manufacture stateside.

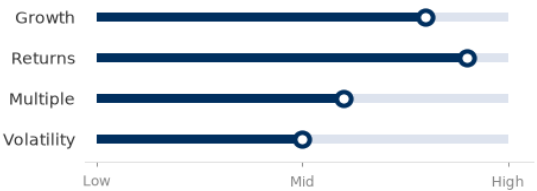
IS IT EXPENSIVE?

At ~\$357, GOOGL trades around 36x forward earnings — meaning you're paying \$36 for every \$1 of profit expected next year. That's not cheap in absolute terms, but it's actually a discount to Microsoft (~34x) and way below Nvidia (~45x) despite Alphabet having similar AI exposure plus a search cash machine. The 77% position in its 52-week range says the easy money's been made, but if Cloud accelerates and the chip story gets validated, the multiple can expand another 10-15% before it looks stretched.

Key Data

Price (USD)	\$357.37
12M Price Target	\$400.00
Upside / (Downside)	+11.9%
Market Cap	\$4.36T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.60
Fwd P/E	36.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$385.00	\$365.00	\$335.00
6 Months	\$425.00	\$385.00	\$310.00
1 Year	\$460.00	\$400.00	\$290.00
2 Years	\$540.00	\$450.00	\$270.00
5 Years	\$750.00	\$575.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — chip stocks bounced hard today, and any hyperscaler talking custom silicon (Google, Amazon, Meta) is getting a bid. Energy is quietly grinding higher on data center power demand narrative.

COOLING OFF: Broader tech is down 2.4% on the week as investors de-risk ahead of Big Tech earnings — nobody wants to be caught long if Microsoft or Meta guides down.

ROTATION WATCH: Money is rotating from generic software into AI infrastructure names with real revenue attached. GOOGL benefits because it's both — Cloud is infrastructure, Search is software, and both have AI stories.

RELATED PLAY: If the custom chip theme keeps running, look at Broadcom (AVGO) — they co-design Google's TPUs and get paid regardless of which hyperscaler wins the AI race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the picks-and-shovels AI trade; every hyperscaler capex increase flows to them first.
- AVGO (Broadcom): Custom silicon partner to Google — direct beneficiary of today's chip news.

GOOGL CONTEXT: GOOGL is leading its mega-cap peers this week — up while broader tech is down 2.4%. That relative strength ahead of earnings usually means smart money is positioning for a beat. If Alphabet delivers and guides well, expect Microsoft and Meta to get dragged higher too.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — pounding the table on the setup, but taking one point off because earnings this week is a binary event.

POSITION SIZE: 4-6% of portfolio — this is a core mega-cap holding, not a trade. Big enough to matter, small enough that a bad earnings print won't wreck you.

ENTRY POINTS: Add on any dip to \$345-355. If we get a broader market flush to \$325-335, back up the truck.

TIME HORIZON: 12-24 months. Near-term catalyst is this week's earnings; medium-term is Cloud crossing \$60B annual run rate and custom chip validation.

WHEN TO BAIL: Cloud growth below 25% YoY, DOJ forces a structural breakup, or search query share visibly craters (watch for management commentary on this).

HEDGING: Buy some cheap out-of-the-money puts before earnings — spend ~0.5% of your position to protect against a 10% gap down. If it rips instead, you lose the insurance premium and keep the upside.